Montgomery County Council

Committee: GO
Committee Review: Completed
Staff: Gene Smith, Deputy Director for Budget and Policy
Purpose: Make preliminary decisions – straw vote expected

AGENDA ITEM #2
May 8, 2026
Worksession

SUBJECT

FY27 Property Tax Credit for Income Tax Offset

EXPECTED ATTENDEES

Nancy Feldman, Fiscal Management Chief, Department of Finance (Finance)
Dennis Hetman, Fiscal Manager, Finance
Todd Fawley-King, Finance and Policy Analyst, Finance
Chris Mullin, Manager, Office of Management and Budget

FY27 COUNTY EXECUTIVE RECOMMENDATION

The Executive recommended a value of $692 for the FY27 Income Tax Offset Credit (ITOC).

COMMITTEE RECOMMENDATIONS

The Government Operations and Fiscal Policy (GO) Committee recommended reducing the ITOC to $0 as part of its package of recommendations related to the income tax structure in the County. Complete details of the impact from this recommendation are included in the Council staff report for Item #1 today.

SUMMARY OF KEY ISSUES

- This recommendation adds resources from the Executive's March 13 recommended budget by $139.7 million. These additional resources balance the revenue reduction from the progressive income tax structure and results in $50.0 million in one-time resources in FY27. The GO Committee recommends allocating the $50.0 million for the FY27-32 Capital Improvement Program.

- The Council staff report includes background and details about the property tax rate. The Council reviewed the GO Committee's recommendation for the property tax rate on May 4, 2026 and supported the GO Committee recommendation (Councilmember Mink abstaining).

This report contains:

Staff Report	Pages 1-4
Proposed resolution	©1
Historical Table of Weighted rate and ITOC	©2
Council President April 17 Memorandum	©3-8

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Montgomery County Council Staff Report

GOVERNMENT OPERATIONS & FISCAL POLICY (GO) COMMITTEE

Agenda Item: #6 **Date:** April 29, 2026 **Staff:** Gene Smith, Deputy Director for Budget and Policy

Subject: FY27 Operating Budget – Property Tax Rate and Income Tax Offset Credit

Purpose: Worksession – review and make recommendations (vote expected)

Expected Attendees:

- Dennis Hetman, Fiscal Manager, Department of Finance
- Todd Fawley-King, Finance and Policy Analyst, Department of Finance
- Chris Mullin, Manager, Office of Management and Budget

A. Summary of FY27 Executive Recommendations

The Executive recommended the following for the FY27 Operating Budget on March 13, 2026:

1) A weighted real property tax rate of $1.0885 per $100 of assessed value that includes a 6.3 cent increase to the Montgomery County Public Schools Supplemental rate (MCPS Supplemental rate) from the FY26 weighted real property tax rate of $1.0255 per $100 of assessed value; and
2) An Income Tax Offset Credit (ITOC) value of $692 for all eligible properties. The proposed value is the same as credit granted in FY26.

B. Public Testimony

The Council held public hearings on the FY27 Operating Budget and related items on April 7, 8, and 9, 2026. In addition, the Council held a public hearing on April 14, 2026 about the resolution to set the Income Tax Offset Credit for FY27 and April 21, 2026 about the real property tax rate for the General Fund as required by §6-308 of the Property Tax Article of the Annotated Code of Maryland (i.e., the Constant Yield Tax Rate). Recordings of the public hearings as well as written/video testimony are available at the Council's website.

C. Background

Section 305 of the County Charter requires an affirmative vote from all current Councilmembers to approve a weighted real property tax rate (or "weighted rate") for the next fiscal year that exceeds the weighted rate of the current fiscal year. The County levies a General Fund property tax and several special district property taxes (e.g., Mass Transit, Fire, etc.). The specific series of property taxes levied are based on the property's location, and some tax rates are levied on a limited number of properties (e.g., Urban Districts). The weighted rate is a compilation of all the rates amongst all properties in the County.

The ITOC provides a tax credit to owner-occupied properties in the County. The value of the credit must be adopted by the Council each year and is based on the total County income tax revenues collected

that exceed 2.6% and the number of eligible properties in the County. See ©1 for the proposed resolution for FY27 to set the ITOC value.

The ITOC is a flat rate and provides a small degree of progressivity to the property tax system since lower-valued properties will experience a greater reduction in taxes compared to higher-valued properties. The ITOC is the largest tax credit expenditure currently approved by the Council as reported in the Annual Tax Expenditure Report published by Finance. In Levy Year 2024, 192,258 properties qualified for the $692 ITOC with an impact of $133.4 million in tax credit expenditures.

The enabling State legislation for ITOC was amended in 2020. The State law was amended and now requires that homeowners apply and qualify for the Homestead Property Tax Credit to receive the ITOC.[1] Previously, the ITOC was granted automatically by the County to eligible properties. As a result of this amendment, the County's number of ITOC eligible properties decreased from about 250,000 to 190,000.

See ©2 for details about the weighted rate and the ITOC value from FY00 through FY26. The following are highlights from the table:

- The County's weighted rate fluctuated from a low of $0.903 per $100 in FY07-FY09 to a high of $1.0264 per $100 in FY17.
- The weighted rate no longer fluctuates due to the Charter Amendment adopted by the County residents in 2020.
- The ITOC amount increased from $0 in FY05 to $692 in FY11.
- The ITOC amount has remained at $692 since FY11.

D. Operating Budget Equity Tool (OBET) Analysis

An OBET analysis was not performed for the weighted rate or ITOC.

E. Budget Discussion Items

The Council adopts the ITOC value by resolution during the budget process. The weighted rate is adopted as part of the Tax Levy resolution for the upcoming budget year. This value is not published anywhere, because it is driven by a formula for all property tax rates in the County.

1. ITOC

Property tax credits are like programs in the budget; there is an expenditure to implement them. The ITOC is no different. Any changes to the ITOC value will directly impact the estimated property tax revenues for that fiscal year. For example, a $1 increase to the ITOC in FY27 will result in a decrease of

[1] The Homestead Tax Credit is a different tax credit that provides relief from rapidly rising assessments. Only owner-occupied properties are eligible for this credit, like the ITOC.

$201,897 to the estimated FY27 property tax revenues. Table 1 below provides several illustrative examples of how the general fund revenues are impacted based on different ITOC values for FY27.

Table 1: Illustrative Examples of Changes to the FY27 ITOC Value and General Fund Revenues

ITOC Amount	Estimated Total Increase (decrease) to Property Tax Revenues
$600	$18,574,490
$650	$8,479,658
$692	---
$750	($11,710,004)
$800	($21,804,836)

The ITOC is one line item for residents on their property tax bill. It is a flat value and applied after all other taxes are calculated. There are multiple variables that impact the total property tax bill for properties in the County. **The change in a property's assessable base is the single largest factor for fluctuations to a property tax bill most years**. Properties in Maryland are assessed on a three-year cycle. The percentage increase or decrease in a property's assessment will result in a commensurate percentage change in the property taxes owed that year with all other factors held constant.

2. Weighted Rate

The Council, in accordance with the County Charter, may set a weighted rate for the next fiscal year that is equal to or less than the weighted rate for the current fiscal year with a majority vote. The Council will need affirmative votes from all current Councilmembers to exceed the weighted rate of the current fiscal year. If the Council determines it will levy a MCPS Supplemental rate, as it did in FY24, it will need six affirmative votes. The difference in votes is based on whether the Council determines that the additional property taxes levied are solely for MCPS or for general uses.

The Executive recommended a FY27 weighted rate of $1.0885 per $100 in the FY27 Operating Budget. This included a 6.3 cent increase for the MCPS Supplemental rate and the 4.7 cent approved MCPS Supplemental rate from FY24.

The Council must also consider the General Fund rate as it sets property tax rates each fiscal year. Per State law, the Council may not exceed the General Fund rate from the previous fiscal year unless it advertises a rate that exceeds it and holds a public hearing. The Council advertised a General Fund rate of $0.7372 per $100 and held a public hearing on April 21, 2026. Council decisions related to expenditures in the general fund will impact the actual tax rate levied in FY27. The maximum General Fund rate that the Council may levy in FY27 is $0.7372 per $100 or 6.3 cents per $100 of assessed value greater than FY26.

3. Council President's Proposal

The Council President proposed using the ITOC expenditures to support creating a progressive income tax structure (see ©3-8). If adopted, the Council would reduce the ITOC to $0. This action would increase tax-supported revenues by $139.7 million. These additional revenues would offset the decrease in income tax revenues from the proposed income tax rate structure. Additional details about the Council President's income tax proposal, ITOC, and Working Families Income Supplement are included in the Council staff report about the income tax resolution for today's worksession.

F. Summary of Committee Decision Points

The Committee must consider its options and make a recommendation for the weighted rate and the ITOC.

1. Weighted Rate

The Committee may recommend any rate value, up to $1.0885 per $100 of assessed value. The Council may not exceed that rate due to State requirement for advertising increases to the property tax rate.

Option #1: Concur with the Executive's Proposed Rate. This option will keep the weighted rate at $1.0885 per $100 of assessed value. It includes the proposed 6.3 cent property tax rate increase for the MCPS Supplemental rate. This option will require a majority of the Councilmembers to support approving the MCPS supplemental rate in May.

Option #2: Recommend against supporting the Executive's Proposed Rate. This option lowers the weighted rate back to the FY26 amount of $1.0255 per $100 of assessed value. The Council must identify $164.6 million in reductions to the proposed FY27 Operating Budget to balance the budget in May.

2. ITOC

The Committee may recommend any ITOC value up to $2,200 per eligible property based on the current 3.2% income tax rate. Every $1 change to the rate from the approved FY26 ITOC of $692 will increase or decrease FY27 expenditures by $201,897 commensurately.

The attached resolution must be amended if the Council approves a different ITOC value than $692 as recommended by the Executive. Council staff will update the subject resolution as needed based on the GO Committee recommendation and subsequent Council action.

This packet contains:	Circle #
Proposed resolution	© 1
Historical Table of Weighted rate and ITOC	© 2
Council President April 17 Memorandum	© 3-8

Resolution No.: _____
Introduced: _____
Adopted: _____

COUNTY COUNCIL
FOR MONTGOMERY COUNTY, MARYLAND

By: County Council

SUBJECT: Property Tax Credit for Income Tax Offset

Background

1. County Code Section 52-86 authorizes the County Council by resolution to set the rate or amount of the property tax credit to offset certain income tax revenues resulting from a County income tax rate higher than 2.6%.

2. The County Executive has recommended the amount of property tax credit under County Code Section 52-86 for the tax year beginning July 1, 2026, to be $692 for each eligible taxpayer.

3. Notice of public hearing was given, and public hearing was held.

Action

The County Council for Montgomery County, Maryland, approves the following action:

The amount of the property tax credit under County Code Section 52-86 for the tax year beginning July 1, 2026 is $692 for each eligible taxpayer.

This is a correct copy of Council action.

_____
Sara R. Tenenbaum
Clerk of the Council

Income Tax Offset Credit and Weighted Real Property Tax Rate
FY00-FY26

Fiscal Year	Weighted real property tax rate (per $100)	Change in weighted rate tax rate	ITOC amount
2000	$1.0060	($0.0110)	$0
2001	$1.0060	-	$0
2002	$1.0060	-	$0
2003	$1.0050	($0.0010)	$0
2004	$1.0050	-	$0
2005	$0.9950	($0.0100)	$0
2006	$0.9530	($0.0420)	$116
2007	$0.9030	($0.0500)	$221
2008	$0.9030	-	$613
2009	$0.9030	-	$579
2010	$0.9040	$0.0010	$690
2011	$0.9040	-	$692
2012	$0.9460	$0.0420	$692
2013	$0.9910	$0.0450	$692
2014	$1.0100	$0.0190	$692
2015	$0.9960	($0.0140)	$692
2016	$0.9870	($0.0090)	$692
2017	$1.0264	$0.0394	$692
2018	$1.0012	($0.0252)	$692
2019	$0.9814	($0.0198)	$692
2020	$0.9786	($0.0028)	$692
2021	$0.9785	($0.0001)	$692
2022	$0.9785	-	$692
2023	$0.9785	-	$692
2024	$1.0255	$0.0470	$692
2025	$1.0255	-	$692
2026	$1.0255	-	$692

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Council President

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CHAIR
Economic Development Committee (ECON)

MEMBER
Planning, Housing and Parks Committee (PHP)

MONTGOMERY COUNTY COUNCIL
ROCKVILLE, MARYLAND

To: Councilmembers
From: Council President Fani-González
Date: April 17, 2026
Re: A progressive approach to the FY27 budget

After hearing from residents and conversations with many of you, it has become clear to me that we need to chart a fundamentally new course with this budget. To put it mildly, the County Executive's budget misses the mark across so many dimensions that we cannot let inertia take hold and simply make minor adjustments. The time for bold, progressive action is now. Not next year or the following.

In the spirit of full transparency with you and the public, I outline below a fiscally prudent approach to the FY27 operating budget that enables the Council to make income taxes progressive, eliminate the 6.3 cent property tax increase, and slow the growth in spending all while protecting the social safety net services for our most vulnerable residents.

We all know that residents are struggling to make ends meet in this economy. Ever expanding costs—energy, food, rent, and healthcare to name a few—are overwhelming any increase in wages. It is particularly hard for residents at or below the median income. Housing has become unaffordable for nearly a quarter of all County households, particularly for those who are starting a family and struggle to pay for child care. Increased housing costs, like the Executive's property tax increase, will make housing *more unaffordable* for families earning less than the median income.

And if things are bad for those with jobs and even worse for those with young children who need childcare, imagine how much worse it is for the former federal workers who lost their jobs, through no fault of their own, but because of cruel and irresponsible policies of this current federal administration. We know economic storm clouds are mounting on the horizon. From the horrific attacks on immigrant families, disregard of federal workers, the war in the Middle East, inflation, and tariffs, it is prudent to plan for a slow down, if not a full blown recession.

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While it may be tempting to blame the federal government for our fiscal and economic predicament, the truth is that we bear responsibility for the choices we have control over. This is where my proposal comes in. Asking residents to swallow a 6.3 cent property tax increase and for everyone to see an increase in their income taxes is unreasonable. We cannot continue to raise taxes indiscriminately, particularly in such uncertain times. Fortunately, the Council doesn't have to accept that outcome.

Below I detail a better way forward.

Progressive Income Tax

For years, many of you, like me, have called for an income tax structure that asks a little bit more of those of greater means and a little less for those of more modest and lower incomes. Despite state enabling authority to do so for several years now, we have chosen not to take that step. I believe the time is now to do so.

This year I am proposing a progressive income tax structure that over the long run is close to fiscally neutral. The new rate structure is detailed below.

Proposed Progressive Income Tax Structure

Maryland Adjusted Gross Income (AGI)	New County Income Tax Rate	Change in Income Tax Rate
$0 to $50,000	2.50%	-0.70%
$50,001 to $150,000	2.80%	-0.40%
$150,001 to $300,000	3.20%	0%
Greater than $300,000	3.30%	0.10%

Under this structure, **96% of County households would receive a tax break**. For instance, a family of four earning the area median income of $164,300, would expect to receive an estimated $750 income tax cut.

To afford paying the reduction in rates at the lower incomes, I propose we eliminate the Income Tax Offset Credit (ITOC) and the Working Families Income Supplement (WFIS). While both of those programs are intended to provide "progressivity" to our current regressive income tax structure, they are highly imperfect. As was noted in last year's staff report, about 83% of County households that earn less than $50,000 do not benefit from the WFIS. My proposal would give relief to 100% of those earning less than $50,000. Likewise, the ITOC is designed to provide relief for a County income tax rate greater than 2.6%. By creating a progressive income tax structure,

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we're eliminating the need to provide this limited relief as a property tax credit, ensuring that the relief goes to those earning the income and not just those who own property.

The net effect of all these changes would generate just over $82 million of one-time resources in FY27 that can be used to help vulnerable families.

Furthermore, I propose that we utilize $50 million of these FY27 resources to bolster reserves, helping address our structural deficit and strengthening our triple-A bond rating. The remaining $32 million becomes available for one-time needs in the FY27 budget.

Slowing the Growth of Spending

The County Executive's proposed FY27 tax supported budget of $7 billion in spending represents a 5.7% (or $375 million) increase from FY26. Fifty percent of his increase is funded by raising taxes - approximately $165 million from the 6.3 cent property tax increase and another $24 million from the income tax increase.

To be completely upfront: we cannot give residents a tax break through one action and raise their taxes with another. We must identify strategic savings to eliminate the Executive's careless tax hikes, so we can give residents a meaningful break.

With the progressive income tax outlined above, we should consider targeted savings to slow the growth in spending by $156 million to not only eliminate the proposed property tax increase but also to set the County's fiscal situation on a more sustainable path for the future. Under this proposal, County growth in spending would still increase, but at a slower rate of 3.3% compared to 5.7% that the County Executive proposed. That's a significant difference.

To achieve this an equitable manner, I propose that the savings be distributed proportionally across the agencies (Montgomery County Government, MCPS, Montgomery College, and M-NCPPC) according to their relative size in the entire budget. I also suggest that we approve increases to compensation packages that are slightly smaller than those proposed by the County Executive.

<u>Compensation ($45 million, 29% of the savings)</u>

My proposal calls for a uniform 2.0% general wage adjustment (GWA) for all employees across agencies, with no changes to increments. This would allow reasonable and equitable pay growth for public employees across the agencies while achieving $40.4 million in savings. For County Government, I would also eliminate additional salary schedule adjustments as well as retirement and longevity changes that would create future year cost obligations for a net savings of $4.5 million. If approved as proposed, these items would carry future year cost obligations of at least $14 million.

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Every employee will still see increases in salaries that are as large or larger than most private sector and other public sector employees. As noted in the Council staff report on compensation and benefits, federal employees, at least those who were fortunate enough to keep their job, are only getting a 1% GWA this year while most state employees are getting a 1.5% GWA. Nevertheless, I understand that this will be a tough pill to swallow for partners in labor who negotiated in good faith; I would never suggest this change if there was another viable way that did not lead to us cutting direct services to the most vulnerable. Employees will still receive raises. Having a unified 2.0% GWA for all our labor unions helps us eliminate an increase to the property tax and forestalls much tougher decisions in the next few years.

Montgomery County Government ($55 million, 35% of the savings)

In addition to compensation adjustments, I propose a further savings of $55 million to County Government. As I indicated in my earlier memo on the budget, Council staff have identified new/enhanced spending items (with several caveats) for placement on the reconciliation list. They estimate that the list may contain up to $41 million in spending. If we can identify $30 million in reductions, we will need to find another $25 million in reductions in MCG, with an eye towards avoiding direct service impacts, particularly on social safety net services. Below is a non-exhaustive list of programs with their proposed FY27 funding.

To achieve targeted savings of $25 million, we should be considering adjustments to programs, including the following and potentially others:

Budget	FY27 Amount
Arts and Humanities	7,230,304
Community Grants	13,680,967
Conference and Visitors Bureau	953,290
Economic Development Fund	3,972,475
Incubator Programs	2,000,000
KID Museum	2,496,945
MCM	2,500,000
Montgomery Coalition for Adult English Literacy	2,652,078
Montgomery County Economic Development Corp.	5,261,076
Montgomery County Green Bank	19,385,726
Payments to Municipalities	26,123,663
Small Business Support Services	1,700,000
Total	**87,956,524**

Again, above is a list of about $88 million in a variety of programs; we need to find $25 million in cuts by reducing some of them or others you may think we need to target.

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MCPS ($59 million, 37% of the savings)
In addition to the compensation adjustments, I am recommending that we find further savings from the Board of Education's request by $59 million. Ultimately the Board will determine how to allocate the funding they receive, but it is my hope that the Board will prioritize spending on key areas like special education, safety, and bridging the achievement gap.

This is not a cut. All told, MCPS would still receive a 3.8% increase ($90 million) year over year increase in local funding. MCPS will be receiving more funds this year compared to last year, yet it will not be as high as they requested because we cannot afford it. And this is on top of the $584.4 million in increased County funding provided to MCPS between FY22 and FY26, an average increase of $146.1 million per year. As I have said numerous times: numbers don't lie. I expect MCPS to continue working towards more transparency in their budgeting decisions and excellence in our schools.

Montgomery College and M-NCPPC ($7.6 million, 5% of the savings)
Montgomery College and M-NCPPC have the smallest asks of the agencies and continue to be extraordinary partners. At the same time, it is important that all the agencies participate in this plan to reduce spending for the Executive's recommendation. While the College and M-NCPPC would still receive an increase under this plan, I have asked Council staff to identify options for reductions in these agencies that could have no or minimal impact on service delivery. Stay tuned on those.

Council Priorities
Assuming all these changes are taken, there is $10.0 million remaining in fiscal capacity for Council priorities that the Executive failed to fund. While we would collaboratively decide on how to allocate these dollars, I strongly believe that the non-profit adjustment needs to be at least 4% (an increase of $2.6 million) and increase our investment in early care and education by increasing funding for the Working Parents Assistance program to at least another $1 million. We must face the reality that young families are leaving the county because they cannot afford to stay here and the cost of childcare is one of their main reasons for leaving. We must do something about that.

Structural Deficit
The County Executive's budget creates a structural deficit of approximately $257.3 million in FY28. All things being equal, that implies a 9 cent property tax increase next year. We cannot do that to Montgomery County families, particularly in unpredictable times during this federal administration.

That level of risk to our finances is irresponsible and unacceptable.

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Accordingly, my proposal makes a $50 million down payment on the structural deficit by parking into reserves a portion of the additional one-time revenues generated by the progressive income tax package.

Charting a better course on the FY27 Budget

We have an opportunity with this budget to shape a fairer, more sustainable future. We can finally deliver a progressive income tax. We can protect the most vulnerable with direct services. We can help keep costs down for residents struggling in this economy. We can deliver wage increases to our dedicated, hard-working public employees. We can further support our non-profits. We can increase assistance to working families with young kids. Even if you don't agree with every point of my proposal, I urge us all to work in a spirit of civility and collaboration to deliver a budget that our residents can be proud of.